

2 December 2022

Circular in relation to the clearing and record keeping rules for the OTC derivatives regime – changes to the list of persons designated as financial services providers

The revised list of persons designated as financial services providers (**FSPs**) for the purposes of the Securities and Futures (OTC Derivative Transactions—Clearing and Record Keeping Obligations and Designation of Central Counterparties) Rules (**Clearing Rules**) is gazetted¹ today, and becomes effective on 1 January 2023.

Licensed Persons are reminded that if their average total position in OTC derivatives during a Calculation Period² reaches the corresponding Clearing Threshold³, relevant OTC derivative transactions they enter into on and after the corresponding Prescribed Day⁴, including those with FSPs must be centrally cleared in accordance with the Clearing Rules.

Please refer to the Clearing Rules⁵ and the Frequently Asked Questions on the Implementation and Operation of the Mandatory Clearing Regime⁶ for more information.

Supervision of Markets
Securities and Futures Commission

End

¹ The gazette notice can be found on the [Government website](#).

² A Calculation Period is a specified period of time for calculating a person's average total position in OTC derivatives. Each Calculation Period is three months, and there are two Calculation Periods in each calendar year.

³ The Clearing Threshold for each Calculation Period is set at USD 20 billion.

⁴ A Prescribed Day is the day that is seven months after the end of its corresponding Calculation Period.

⁵ The Clearing Rules can be found at:
<https://www.elegislation.gov.hk/hk/cap571A!en@2021-06-11>

⁶ The Frequently Asked Questions on the Implementation and Operation of the Mandatory Clearing Regime can be found at:
<https://www.sfc.hk/-/media/EN/files/SOM/OTC/FAQ-CLearning-Rules-202100831-FINAL.pdf>